

Build a Bridge

One thing that often gets overlooked by a lot of future millionaires is the *bridge period*. That's what I call the period between the time you stop working and the time you're able to start withdrawing funds from your retirement accounts. If you plan to retire early, this warning is for you. Let's say you want to retire at age fifty-five. That's great—but only if you've planned for it. You can't withdraw funds from your retirement accounts without incurring a penalty until you're age fifty-nine and a half, so in this example, you'll need about four and a half years of investment savings outside of your retirement accounts to live on.

While I and almost all the millionaires we talked to love the 401(k) and similar retirement accounts, you need to plan for a little extra to cover your bridge years. For this, I recommend setting some money aside in a good growth-stock mutual fund outside of your retirement accounts. As you plan your retirement dream, simply set a retirement age target, figure out how much money you'll need to live on, and make sure you're on track to have that much set aside for each year of your early retirement until you can access your retirement accounts without penalty. This shouldn't be intimidating, but it can be a little tricky. I suggest working with both an investment and a tax professional to make sure this part of your plan is locked in tight.